Leading Through Innovation Paradoxes

Why the Best Strategic Choices Often Lie Beyond Either-Or Thinking

A strategic perspective for business and innovation leaders

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Executive Perspective

Innovation leaders are frequently confronted with choices that appear impossible to reconcile.

Should an organisation invest in technological possibilities or respond primarily to customer demand? Should innovation be managed through structured processes or given the freedom to experiment? Should decision-making authority remain within established business units or be transferred to dedicated innovation teams?

These questions often generate lengthy management discussions. Different stakeholders defend their positions with convincing arguments, yet additional analysis rarely produces a clear answer.

The problem may not be insufficient information.

It may be that both perspectives contain an important part of the truth.

Traditional management approaches tend to frame such situations as choices between alternatives. One direction must be selected, resources allocated and responsibilities assigned.

Yet innovation frequently involves competing demands that are simultaneously legitimate. Focusing exclusively on one may weaken the organisation's ability to address the other.

This is where paradox thinking offers a different perspective.

Rather than treating apparently contradictory viewpoints as obstacles to decision-making, leaders can explore the underlying assumptions and discover new possibilities for creating value.

> **Innovation leadership is not simply about choosing between competing alternatives. It is about recognising when opposing perspectives are both valuable and developing ways to combine or balance them.**

This requires more than compromise. It requires leaders to challenge established assumptions, engage with different perspectives and recognise that some tensions cannot be resolved permanently.

The objective is not to eliminate every contradiction. It is to turn productive tensions into better strategic choices.

1. Why Innovation Creates Paradoxes

Innovation takes place under conditions of uncertainty.

Organisations must make decisions about technologies, markets, investments, capabilities and organisational arrangements before the consequences of those decisions are fully understood.

Different stakeholders interpret these uncertainties through their professional experience, responsibilities and underlying beliefs.

A technology leader may argue that breakthrough innovations require investment before customers can articulate their needs. A commercial leader may insist that innovation must begin with demonstrated customer demand.

Both arguments are reasonable. Yet they may lead to fundamentally different investment priorities.

The resulting disagreement is not necessarily caused by poor communication or a lack of analytical capability. It may reflect two legitimate perspectives on the same innovation challenge.

From strategic contradictions to innovation paradoxes

The concept of paradox thinking has a strong foundation in strategic management.

Bob de Wit and Ron Meyer introduced an approach to strategy that examines competing strategic perspectives and explores possibilities for synthesis rather than assuming that one perspective must prevail.

This approach is particularly relevant to innovation because innovation decisions frequently involve multiple interconnected variables and uncertain outcomes.

In my work on innovation management, I define an innovation paradox as:

> **Two seemingly opposite interpretations of an innovation force.**

An innovation force is a factor that can stimulate or shape innovation. Examples include technological developments, customer needs, organisational capabilities, competitive pressures and management approaches.

The same force may be interpreted differently depending on the perspective of those involved.

For example, technological progress may be viewed as an opportunity to develop new capabilities before competitors do so. Alternatively, it may be regarded as a source of unnecessary investment risk unless there is clear market demand.

Neither interpretation is automatically correct. The strategic challenge is to understand what each perspective reveals about potential value creation.

When apparently rational arguments become unproductive

Innovation paradoxes often become visible through recurring management discussions.

Participants repeatedly present similar arguments. Additional information does not resolve the disagreement. Decisions are postponed, or one perspective eventually prevails because of hierarchical authority rather than stronger strategic reasoning.

The underlying tension remains. It may resurface during implementation or when a similar decision arises.

This pattern is particularly common when the consequences of a decision are significant.

A new technology may threaten established expertise. A different business model may challenge existing revenue streams. A new organisational structure may redistribute decision-making authority.

In these situations, stakeholders are not merely defending analytical positions. They may also be protecting professional identities, responsibilities and deeply held assumptions about how the organisation should operate.

Recognising this changes the nature of the discussion. Instead of asking which argument is stronger, leaders can begin examining why different stakeholders interpret the same innovation force so differently.

2. Recognising an Innovation Paradox

Not every disagreement represents a paradox.

Some decisions involve genuine alternatives for which one option is demonstrably better. Others concern trade-offs between competing objectives that can be resolved through prioritisation.

A paradox has a different character. It involves perspectives that appear contradictory but remain relevant because each addresses a legitimate dimension of the underlying challenge.

The difference between a dilemma and a paradox

A dilemma typically presents alternatives between which a decision must be made.

For example, an organisation may need to choose between two suppliers offering different combinations of price, quality and delivery reliability.

The decision may be difficult, but the alternatives can often be evaluated against agreed criteria.

A paradox involves a more persistent tension.

Consider the relationship between operational efficiency and innovation flexibility.

Efficiency benefits from standardisation, predictability and control. Innovation often requires experimentation, adaptation and freedom to challenge existing procedures.

Both are necessary for organisational performance.

Choosing one at the expense of the other may create immediate advantages but also introduce longer-term vulnerabilities.

The challenge is therefore not simply to decide which objective is more important. It is to develop organisational arrangements that can accommodate both.

Six facets of an innovation paradox

The original Innovation Paradox Framework identifies six facets that help leaders examine apparently opposing perspectives.

1. **Perspective on the innovation force**. What are the two dominant interpretations of the situation? Which assumptions explain why stakeholders perceive the same innovation force differently?

2. **Value creation**. How does each perspective expect to create value? What benefits does it prioritise, and which potential forms of value may it overlook?

3. **Players in decision-making**. Which stakeholders influence the decision, formally or informally? Whose interests, expertise and authority shape the discussion?

4. **Decision-making principle**. How are decisions expected to be made? Does one perspective emphasise analytical justification and formal approval, while another prioritises experimentation and learning?

5. **Instruments**. Which management systems, tools and processes support each perspective? Do these instruments reinforce particular assumptions about how innovation should be managed?

6. **Performance indicators**. How does each perspective define success? Which measures receive attention, and what behaviour do they encourage?

Together, these facets reveal that innovation paradoxes are rarely confined to differences of opinion.

They are often embedded in organisational responsibilities, management systems and performance expectations.

Making these dimensions explicit creates opportunities to move beyond repetitive argumentation. It also helps leaders recognise why apparently reasonable decisions may encounter resistance during implementation.

3. From Opposition to Synthesis

Traditional decision-making often assumes that competing perspectives must ultimately be resolved by selecting one.

When neither perspective can be ignored, organisations may seek a compromise. However, compromise and synthesis are not the same.

Either-or thinking

Either-or thinking treats competing perspectives as mutually exclusive.

An organisation chooses technology push or market pull, centralised governance or decentralised autonomy, structured development or agile experimentation.

This approach can be appropriate when alternatives are genuinely incompatible.

But it becomes restrictive when both perspectives contain elements necessary for success.

Choosing exclusively between them may eliminate opportunities that become visible only when their underlying assumptions are reconsidered.

Compromise: reducing the tension

A compromise attempts to accommodate competing interests through concessions.

An organisation may divide its innovation budget between technology-driven and market-driven initiatives. It may allow limited experimentation within an otherwise highly structured development process.

Such arrangements can be useful and sometimes necessary.

However, compromise often preserves the original opposition. Each perspective receives part of what it wants, while the underlying relationship between them remains unchanged.

The organisation manages the conflict without necessarily creating a fundamentally better solution.

Synthesis: creating a new strategic possibility

Synthesis seeks a different outcome.

Rather than choosing one perspective or dividing resources between both, it examines how the underlying strengths of each can be combined into a new approach.

Consider the innovation paradox of Capability Push versus Market Pull.

Technology-driven innovation begins with emerging technological possibilities and explores how they might create value.

Market-driven innovation begins with customer needs and seeks appropriate solutions.

A compromise might allocate resources separately to technology exploration and customer-led product development.

A synthesis would seek to connect the two perspectives more fundamentally.

Technological exploration could reveal opportunities customers cannot yet imagine, while customer insight could direct experimentation towards meaningful problems and commercially attractive applications.

The result is not simply a balance between two innovation approaches. It is an integrated innovation capability in which technological possibilities and market understanding continuously inform one another.

Synthesis is not necessarily permanent

There is an important limitation.

Not every innovation paradox can be resolved through a stable synthesis.

Market conditions change. Technologies evolve. Organisational capabilities develop. A solution that balances competing demands today may become ineffective tomorrow.

For this reason, synthesis should not be understood as the permanent elimination of a paradox.

It may represent a temporary organisational arrangement that requires continuous learning and adjustment.

> **The value of paradox thinking lies not in removing tensions, but in using them to discover better possibilities for action.**

4. Twelve Innovation Paradoxes Across Four Dimensions

Innovation paradoxes can emerge throughout the organisation.

The framework developed by Klokgieters (2020) identifies twelve recurring innovation paradoxes, grouped across four innovation dimensions: Context, Strategy, Operating Model and Execution.

These are the same dimensions introduced in Whitepaper 02, Leading Innovation in Complexity.

The framework does not claim that every organisation experiences all twelve paradoxes, nor that the list is exhaustive.

Its purpose is to make competing perspectives visible and provide a common language for strategic dialogue.

Innovation Context

The context dimension concerns how organisations interpret developments in their external environment.

Incremental Disturbance versus Disruptive Disturbance reflects different assumptions about the nature and speed of environmental change. Should organisations primarily prepare for gradual developments, or anticipate discontinuities that may fundamentally reshape their industry?

Power Play versus Building Trust concerns how organisations interpret relationships between stakeholders and other market participants. Is competitive advantage primarily achieved through strengthening bargaining power, or through cooperation and trust?

Accept & Adapt versus Create & Exploit addresses the organisation's perceived influence over its environment. Should it adapt to developments largely beyond its control, or actively seek to shape emerging opportunities?

These paradoxes influence how organisations interpret the future before strategic choices are made.

Innovation Strategy

The strategy dimension concerns choices about value creation, innovation direction and competitive positioning.

Profitability Maximisation versus Responsibility Optimisation reflects the tension between financial performance and broader responsibilities towards stakeholders and society.

Capability Push versus Market Pull concerns whether innovation should primarily originate from technological and organisational possibilities or from identified market needs.

Smart Follower versus Innovation Leader addresses the strategic choice between pioneering new developments and learning from the experience of others.

Each perspective offers potential advantages and exposes the organisation to different risks.

The challenge is to determine how these apparently competing logics should influence the organisation's innovation strategy.

Innovation Operating Model

The operating model dimension concerns how innovation is organised and governed.

Island Innovation versus Open Innovation reflects the tension between protecting internal expertise and accessing external knowledge, resources and partners.

Managing Innovation versus Leading Innovation concerns the relative importance of formal management processes and the leadership required to inspire, connect and mobilise people under uncertainty.

Business Line Power versus Innovation Project Power addresses the allocation of authority between established organisational units and cross-functional innovation initiatives.

These paradoxes often become visible when organisations attempt to introduce new innovation structures without fundamentally reconsidering existing responsibilities and decision rights.

Innovation Execution

The execution dimension concerns the practical development and implementation of innovation.

Stage Gate Innovation versus Agile/Lean Innovation reflects the tension between structured decision points and adaptive experimentation.

Smart Systems versus Smart People concerns the relative contribution of technological intelligence, automation and human expertise.

Stealth Innovation versus Openness Innovation addresses the tension between protecting innovation initiatives from premature interference and creating transparency, engagement and organisational support.

These paradoxes influence how innovation initiatives are developed, evaluated and implemented.

Figure 1. The Twelve Innovation Paradoxes

Across Four Innovation Dimensions | Klokgieters (2020)



The framework is most useful when applied as a diagnostic instrument.

Rather than attempting to resolve all twelve paradoxes, leadership teams can identify which tensions are most relevant to their organisation's current innovation ambitions.

A recurring disagreement over decision-making authority, for example, may indicate an unresolved Business Line Power versus Innovation Project Power paradox.

A conflict between detailed planning and experimentation may reveal tensions associated with Stage Gate Innovation versus Agile/Lean Innovation.

Recognising the paradox does not automatically provide the solution. It does, however, change the questions leaders ask.

5. Leading Through Innovation Paradoxes

Paradox thinking requires a different approach to leadership.

Leaders must remain capable of making decisions while recognising that apparently contradictory perspectives may both contain valuable insights.

This creates three important responsibilities.

Make underlying assumptions visible

Recurring disagreements often persist because stakeholders defend conclusions without examining the assumptions behind them.

Leadership must create opportunities to explore these assumptions openly.

This requires more than inviting different opinions. It involves understanding how professional backgrounds, organisational responsibilities, incentives and cultural beliefs influence interpretation.

The objective is not to establish which stakeholder is right. It is to understand why different perspectives exist and what each contributes to the innovation challenge.

Shift from winning arguments to creating value

When strategic discussions become contests between departments or individuals, the outcome may depend more on organisational power than on the quality of the solution.

Paradox thinking changes the focus.

Instead of asking which perspective should prevail, leaders ask how the organisation can create value by combining insights that initially appear incompatible.

This does not mean avoiding difficult choices or seeking universal agreement.

Leadership remains responsible for setting direction and making decisions. But those decisions can be informed by a richer understanding of the tensions involved.

Manage paradoxes as continuing organisational tensions

Some paradoxes reappear because the underlying demands do not disappear.

Organisations will continue to need both operational efficiency and innovation flexibility. They will continue to balance short-term performance with long-term investment. They will continue to navigate tensions between autonomy and coordination.

A synthesis that works under one set of circumstances may require adjustment as conditions change.

Effective innovation leadership therefore involves recognising when existing arrangements no longer provide an appropriate balance.

This requires continuous reflection, experimentation and organisational learning.

> **Leading through paradoxes is not about finding a perfect balance once. It is about developing the capacity to reconsider that balance as circumstances evolve.**

Leadership Reflection

The following questions can help senior management teams explore how paradoxes influence their innovation decisions.

1. **Recurring disagreements**. Which strategic or organisational discussions repeatedly return without producing lasting agreement?

2. **Underlying assumptions**. Are these disagreements genuinely about competing alternatives, or do they reflect different assumptions about value creation, risk and organisational responsibilities?

3. **Dominant perspectives**. Which perspectives currently dominate our innovation decisions, and which receive insufficient attention?

4. **Opportunities for synthesis**. Where might combining apparently opposing perspectives create greater value than selecting one or accepting a compromise?

5. **Leadership behaviour**. Do our decision-making processes encourage constructive exploration of tensions, or do they reward stakeholders for defending established positions?

These questions are intended to stimulate dialogue rather than produce immediate consensus.

Their value lies in helping leaders recognise that some of the organisation's most persistent innovation challenges may originate from tensions that cannot be resolved through conventional either-or decisions.

Closing Perspective

Innovation requires organisations to make choices under uncertainty.

These choices frequently involve competing demands that cannot be reduced to simple alternatives.

Technological exploration and market understanding. Operational discipline and experimentation. Organisational autonomy and coordination. Financial performance and broader responsibility.

Each perspective may contain an essential part of the organisation's future success.

The challenge for leadership is to recognise when choosing one perspective means unnecessarily sacrificing the value of another.

Paradox thinking provides a way to move beyond this limitation.

It encourages leaders to examine underlying assumptions, engage with different interpretations and search for new possibilities that are not visible from either perspective alone.

Yet the objective is not to eliminate every contradiction.

Some tensions are inherent in innovation and must be revisited as technologies, markets and organisations evolve.

> **The quality of innovation leadership is therefore not determined by how quickly competing perspectives are resolved, but by how effectively their tensions are transformed into better strategic choices.**

About the Author

Koen Klokgieters is the founder of InnoPlot and has spent more than three decades working at the intersection of strategy, innovation, technology and organisational transformation. His experience combines corporate leadership, consulting, entrepreneurship and education.

Through InnoPlot, he supports organisations and their leaders in translating strategic challenges into innovation capabilities, organisational change and measurable impact.

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Conceptual Foundations

This whitepaper is adapted from Innovation Paradoxes by Koen Klokgieters.

The approach draws on the strategic paradox perspective developed by Bob de Wit and Ron Meyer and the Innovation Paradox Framework introduced by Klokgieters (2020).

The twelve innovation paradoxes and their classification across four innovation dimensions are retained from the original framework. The distinction between dilemma, compromise and synthesis, together with the leadership implications, has been further developed for this whitepaper.

Klokgieters, K. (2020). Innovatie Paradoxen, Innovatiesynthese als oplossing voor complexe innovatievraagstukken). Amsterdam: GroupMapping.

De wit, B. & Meyer, R. (1998). Strategy Synthesis, Revolving Strategy Paradoxes to create Competitive Advantage. London: International Thomson Publishing.